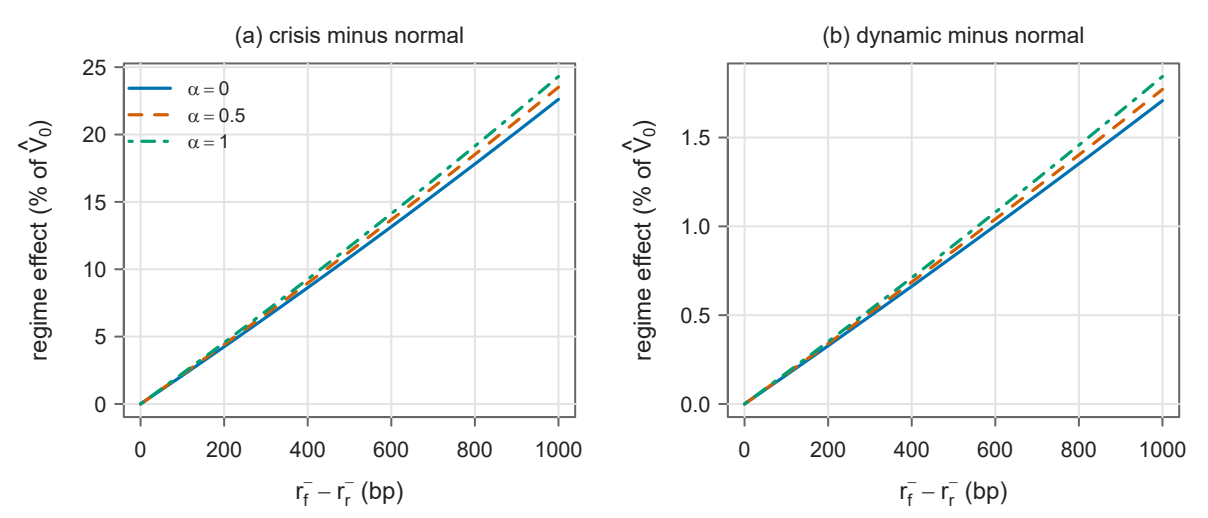
(a) crisis minus normal
(b) dynamic minus normal
regime effect (% of $\hat{V}_0$)
$\bar{r}_f - \bar{r}_r$ (bp)
α = 0
α = 0.5
α = 1
0
5
10
15
20
25
0.0
0.5
1.0
1.5
0
200
400
600
800
1000